CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY (CHARUSAT)
Master of Business Administration (MBA)
Post Graduate Diploma in Management (PGDM)
Semester – III University Examination, April - 2018
MB812.2: Sales and Distribution Management (Old)
MB812.3: Sales and Distribution Management (New)

Date: 02.04.2018, Monday **Time: 10:00 A.M. to 01:00 P.M.** **Maximum Marks: 70**

Instructions:
1. This paper contains six questions, of which the last one is a case analysis.
2. All questions are compulsory.
3. The first five questions will carry 10 marks each and the last one (case analysis) will carry 20 marks.

Q.1 "Distribution management differs from product to product and service to service." Explain the given statement in the light of different distribution management systems along with the performance criteria of each. **10**

Q.2 "Personal selling is a step by step process." Elaborate the given statement by explaining personal selling process in detail. Explain the difference in the personal selling process in case of air conditioner and super specialty chemicals. **10**

Q.3 Explain the following terms with suitable examples: **10**

i. Cold calling
ii. FAB
iii. Need based selling
iv. Solution selling
v. Cold customers
vi. AIDA
vii. Sales territory
viii. Order taker
ix. Team based selling
x. Intensive distribution

Q.4 "Compensation of sales person depends on many factors." Discuss the statement in the view of various factors affecting compensation of sales person. What factors will you consider when an inexperience sales executive is placed in new territory with established players while deciding compensation? **10**

Q.5 Emami Ltd, which owns brands such as Navratna oil and Boro Plus antiseptic cream, will increase direct distribution of its products by adding 200,000 outlets to its (distribution) network across the country in 18 months, especially in rural areas. **10**

Direct distribution involves stocking products with retailers without going through wholesalers. Currently, the Kolkata-based consumer products company distributes through 600,000 outlets, with rural markets contributing about half its total sales. To spur rural consumption, Emami will add 11,000 villages to its distribution network, increasing those it reaches directly to 20,000.

Direct distribution, as opposed to using distributors or wholesalers, ensures both better quality and cross-selling opportunities for consumer companies. Emami first invested in

creating a separate distribution system for rural markets under Project Swadesh in 2010-2011. It has since covered 8,000-9,000 villages, each with a population of 20,000 or above, across 15 states, including Uttar Pradesh and West Bengal. Emami has also revised its product prices. In 2014, it launched Zandu balm and Navratna oil in Rs.2 and Rs.1 packs, respectively. It also tests marketed talcum powder pouches priced at Rs.1 under the Navratna brand in Uttar Pradesh and Bihar.
(**Source:** July 23, 2013, livemint)

Critically examine the given case. Also, explain the logic behind Emami's decision. Explain the benefits and cost associated with such decision. What prospective challenges Emami can face in future due to new setup?

Q.6 Read the given case carefully and given answer to the question given below: 20

The insurance industry is ready for a new distribution channel—insurance marketing firm, officially abbreviated as IMF. The channel will be allowed to distribute policies of two insurance firms in the same line of business, and will also be allowed to distribute other financial products as allowed by the Insurance Regulatory and Development Authority of India (IRDA).

An IMF can sell products of two life, two non-life and two health insurers. Other than this, the firm will also be allowed to sell other financial products such as mutual funds, National Pension System (NPS), banking and financial products of banks and non-banking financial companies regulated by the Reserve Bank of India (RBI), post office savings schemes and other financial products distributed by investment advisers licenced by the capital markets regulator. The net worth requirement to become an IMF is Rs.10 lakh.

There will be two kinds of licenced individuals: an insurance salesperson (ISP), who will be responsible for soliciting business; and a financial service executive (FSE), who will handle the distribution of other financial products. To become an ISP, the individual needs to have finished Class 12, cleared the IMF examination (under the purview of IRDA) and be a domicile of the area in which the IMF is registered. For other financial products, handling of customer complaints and providing after-sales services will be governed by the conditions prescribed by the respective regulatory authorities.
(**Source:** March 23, 2015)

Explain the new distribution channel of Insurance as discussed in case. Also, explain in detail the existing distribution channels used by Insurance companies in India. Explain the advantages and disadvantages of the same.